CHAPTER 76 Rights and Liabilities of the Government

Articles 294 to 300 in Part XII of the Constitution deal with the property, contracts, rights, liabilities, obligations and suits of the Union and the states. In this regard, the Constitution makes the Union or the states as juristic (legal) persons.

PROPERTY OF THE UNION AND THE STATES

1. Succession

All property and assets that were vested in the Dominion of India or a province or an Indian princely state, before the commencement of the present Constitution, became vested in the Union or the corresponding state.

Similarly, all rights, liabilities and obligations of the government of the dominion of India or a province or an Indian state would now be the rights, liabilities and obligations of the Government of India or the corresponding state.

2. Escheat, Lapse and Bona Vacantia

Any property in India that would have accrued to the King of England or ruler of the Indian state (princely) by escheat (death of a person inte-state without any heir), lapse (termination of rights through disuse or failure to follow appropriate procedures) or *bona vacantia* (property found without any owner) for want of a rightful owner, would now vest in the state if the property is situated there, and in the Union, in any other case. In all these three cases, the property accrues to the government as there is no rightful owner (claimant).

3. Sea-Wealth

All lands, minerals and other things of value under the waters of the ocean within the territorial waters of India, the continental shelf of India and the exclusive economic zone of India vests in the Union. Hence, a state near the ocean cannot claim jurisdiction over these things.

India's territorial waters extend to a distance of 12 nautical miles from the appropriate baseline. Similarly, India's exclusive economic zone extends upto 200 nautical miles[1].

4. Compulsory Acquisition by Law

The Parliament as well as the state legislatures are empowered to make laws for the compulsory acquisition and requisitioning of private property by the governments. Further, the 44th Amendment Act (1978) has also abolished the constitutional obligation to pay compensation in this regard except in two cases: (a) when the government acquires the property of a minority educational institution; and (b) when the government acquires the land held by a person under his personal cultivation and the land is within the statutory ceiling limits[2].

5. Acquisition under Executive Power

The Union or a state can acquire, hold and dispose of property under the exercise of its executive power.